Business Environment & Ethics - Set 6

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

Case: AgriMart Online: AgriMart, an online platform selling seeds and fertilisers to farmers, is preparing its annual plan. The government has suddenly banned the export of onions, which has hit farm incomes. At the same time, smartphone use in villages has grown rapidly. The management uses a PESTLE chart to organise these external developments but admits that the chart must be refreshed regularly.

1. The sudden ban on onion exports is mainly a:
- A. Social factor
- B. Technological factor
- C. Political factor (trade policy)
- D. Internal factor

2. A company must comply with CSR provisions if its net worth in the preceding financial year is at least
- A. Rs 500 crore
- B. Rs 100 crore
- C. Rs 50 crore
- D. Rs 5,000 crore

3. When the RBI increases the repo rate, loan interest rates in the economy are likely to
- A. Fall
- B. Remain unchanged
- C. Become zero
- D. Rise

4. Deceptive online interface designs that trick consumers into unintended choices are called
- A. Dark patterns
- B. Green patterns
- C. Smart patterns
- D. Open patterns

5. The Planning Commission was replaced by NITI Aayog in
- A. 2005
- B. 2010
- C. 2019
- D. 2015

6. Linking product sales to a donation for a social cause is called
- A. Price skimming
- B. Cause-related marketing
- C. Direct selling
- D. Telemarketing

Case: Bharat Steels Ltd and CSR: Bharat Steels Ltd had a turnover of Rs. 1,200 crore this year. Its net profits for the last three years averaged Rs. 70 crore, and this year's net profit was Rs. 80 crore. The board is deciding how to meet its CSR obligations under the Companies Act, 2013, and is considering several proposals.

7. Is the company covered by the CSR provision?
- A. No, because only government companies are covered
- B. No, because manufacturing firms are exempt
- C. Yes, but only if it is foreign-owned
- D. Yes, because its turnover exceeds Rs. 1,000 crore and its profit exceeds Rs. 5 crore

8. Banking, insurance and transport belong to the
- A. Tertiary (services) sector

B. Primary sector
C. Secondary sector
D. Agricultural sector

9. A whistle-blower policy is intended to
A. Punish all complainants
B. Hide wrongdoing
C. Reduce audits
D. Allow reporting of unethical practices without fear of retaliation

10. The Sale of Goods Act, 1930 regulates
A. Stock exchange trading
B. Contracts for the sale of goods, including implied conditions on quality
C. Environmental clearance
D. Foreign exchange

Case: Stake Sale and Foreign Investment: The government sold 20 per cent of its stake in a public sector bank to institutional investors. In the same year, a foreign company invested Rs. 500 crore to set up a factory in India and took management control of it. Officials said the investment would bring capital, technology and jobs.

11. Which of the following is a likely benefit of this FDI?
A. Higher unemployment
B. Capital inflow, technology transfer and employment
C. Lower foreign exchange reserves
D. Reduced competition

12. Partial liberalisation of the Indian economy began in the
A. 1980s
B. 1950s
C. 1960s
D. 2000s

13. An ethics officer is mainly responsible for
A. Preparing balance sheets
B. Selling products
C. Recruiting drivers
D. Overseeing ethics programmes and handling ethical complaints

14. Kantian (deontological) ethics is based on
A. Duty and universal moral rules
B. Consequences
C. Profit
D. Local culture

15. Partnering with NGOs helps companies by
A. Avoiding community work
B. Raising prices
C. Cutting jobs
D. Bringing local expertise to community projects

16. An integrated report combines
A. Only taxes
B. Only sales
C. Financial and non-financial performance
D. Only costs

17. The liberalisation of the Indian economy in 1991 changed the conditions in which Indian firms operated. This illustrates the ___ of business environment.
A. Static nature
B. Internal control
C. Dynamic nature
D. Uniformity

18. Retributive justice deals with
A. Fair punishment for wrongdoing
B. Fair allocation of rewards
C. Fair procedures
D. Fair prices

Case: Hindustan Hotels: A Public Sector Sale: The government decides to sell its majority stake in Hindustan Hotels Corporation, a loss-making public sector firm, along with management control, to a private company. The government says the aim is to raise funds and improve efficiency. A different public sector undertaking, in atomic energy, remains under state control.

19. The sale of majority stake and management control to a private company is:
A. Nationalisation
B. Privatisation
C. Devaluation
D. Import substitution

20. A company must comply with CSR provisions if its turnover in the preceding financial year is at least
A. Rs 100 crore
B. Rs 500 crore
C. Rs 10,000 crore
D. Rs 1,000 crore

21. The "Ecomark" scheme in India is a label for
A. Imported luxury goods
B. Environment-friendly products
C. Fast-moving goods
D. Defence products

22. The rapid growth of UPI digital payments illustrates the impact of the
A. Political environment
B. Natural environment
C. Legal environment
D. Technological environment

23. Standing up for what is right despite pressure is called
A. Risk aversion
B. Blind obedience
C. Greed
D. Moral courage

24. The consumer's right to be informed is best protected by
A. Accurate labelling and disclosure
B. Higher prices
C. Secret formulae
D. Fewer products

25. Creating artificial scarcity by hoarding goods to raise prices is
A. An unethical business practice
B. Smart pricing
C. A CSR activity
D. A government incentive

Case: BuildRight and the Permit: A sales manager at BuildRight, a construction firm, pays a municipal officer a sum of money to clear a building permit quickly. A junior colleague learns of this. The company's ethics policy forbids any payment to officials for favours.

26. A likely long-term consequence for BuildRight is:
A. Guaranteed higher profits
B. Legal penalties and loss of reputation
C. Freedom from all regulation
D. Zero risk

27. A rights-based approach to ethics holds that
A. Only the majority matters
B. Only profits matter
C. Law is irrelevant
D. Individuals have basic rights that must be respected

28. Transparency in business means
A. Openness in disclosing information to stakeholders
B. Hiding losses
C. Secret pricing
D. Avoiding audits

29. Offering a bribe to obtain a government contract is
A. Ethical but illegal
B. Both unethical and illegal
C. Legal but unethical
D. Both ethical and legal

Case: Riverside Textiles: Riverside Textiles discharges untreated dye effluents into a river. Fish die and villagers fall ill. The state pollution control board files a case. The company is told that it must bear the cost of cleaning up, and the matter is taken up by a specialised tribunal for environmental disputes.

30. The umbrella law, enacted in 1986 after the Bhopal gas tragedy, is the:
A. Air Act
B. Wildlife Protection Act
C. Environment (Protection) Act
D. Forest Conservation Act

Case: Ravi and the Licence Raj: Before 1991, Ravi wanted to start a factory but had to obtain several government licences, and large firms faced limits on expansion under the MRTP Act, 1969. After 1991, licensing was abolished for most industries, and the MRTP Act was later replaced by a new law to promote competition.

31. The system of heavy licensing and controls before 1991 is popularly called:
A. Green Revolution
B. Free trade
C. Licence Raj
D. Privatisation

32. A firm's plant, machinery and production technology are classified as
A. Macro factors
B. Political factors
C. Internal factors
D. Legal factors

33. The main justification for government regulation of business is to
A. Increase the profits of firms
B. Eliminate all competition
C. Protect public interest and correct market failures
D. Reduce employment

Case: MediCare Hospitals: MediCare Hospitals, a chain in Kerala, is planning expansion. The state government has launched a health insurance scheme for low-income families. The share of elderly people in the population is rising. Telemedicine technology now allows remote consultations. A new law also requires hospitals to protect the privacy of patient data.

34. The state's health insurance scheme is best classified as a:
A. Technological factor
B. Political factor
C. Social factor
D. Environmental factor

35. The World Trade Organisation (WTO) forms part of the
A. Internal environment

B. Global environment
C. Micro environment
D. Organisational culture

36. Training unemployed youth in job skills is an example of
A. Skill development as community engagement
B. Cost cutting
C. Tax planning
D. Price fixing

37. Advertising to children should avoid
A. Colour
B. Exploiting their lack of judgement
C. Music
D. Honesty

38. A vision statement of a firm describes
A. Its past performance
B. What the firm aspires to become in future
C. Its legal compliance
D. Its tax liability

39. Terminating an employee fairly requires
A. Notice and an opportunity to be heard
B. Instant dismissal without reason
C. Secret decision
D. Verbal warning only

40. Job losses in some traditional sectors after liberalisation arose mainly due to
A. Higher tariffs
B. Competition from cheaper imports
C. Import bans
D. Industrial licensing

41. Product liability means the responsibility of a manufacturer or seller to
A. Compensate for harm caused by a defective product
B. Reduce prices
C. Advertise honestly only
D. Pay GST

42. Ignoring local community protests against a project can lead to
A. Higher profits
B. Better goodwill
C. Project delays and reputational damage
D. Lower costs

43. Community engagement means
A. Ignoring local people
B. Advertising only
C. Active involvement of a business in the welfare and development of the local community
D. Selling to government

44. Rapid changes in technology and consumer tastes make it hard to predict the future. This feature of business environment is
A. Certainty
B. Stability
C. Uncertainty
D. Uniformity

45. Effective stakeholder engagement with a community should be
A. One-time and one-way
B. Secret

C. Occasional advertising
D. Continuous and two-way

46. The right to safety protects consumers against
A. Goods and services hazardous to life and property
B. High prices
C. Advertising
D. Competition

47. The Montreal Protocol is aimed at phasing out
A. Plastic bags
B. Coal mining
C. Ozone-depleting substances
D. Nuclear power

48. Good labour-management relations within a firm are an example of a(n)
A. Political factor
B. Natural factor
C. Internal factor
D. Global factor

49. SAIL, BHEL and ONGC illustrate the government's role as an
A. Regulator only
B. Auditor
C. Lender only
D. Entrepreneur

50. Firms that provide raw materials and components to a business are its
A. Customers
B. Competitors
C. Suppliers
D. Regulators

Answer key - Set 6

1. **C**	11. **B**	21. **B**	31. **C**	41. **A**
2. **A**	12. **A**	22. **D**	32. **C**	42. **C**
3. **D**	13. **D**	23. **D**	33. **C**	43. **C**
4. **A**	14. **A**	24. **A**	34. **B**	44. **C**
5. **D**	15. **D**	25. **A**	35. **B**	45. **D**
6. **B**	16. **C**	26. **B**	36. **A**	46. **A**
7. **D**	17. **C**	27. **D**	37. **B**	47. **C**
8. **A**	18. **A**	28. **A**	38. **B**	48. **C**
9. **D**	19. **B**	29. **B**	39. **A**	49. **D**
10. **B**	20. **D**	30. **C**	40. **B**	50. **C**

Answers with explanations

1. The sudden ban on onion exports is mainly a:

Answer: C. Political factor (trade policy)

Why correct: An export ban is a government trade policy decision: political.

A is wrong: It is not social.

B is wrong: It is not technological.

D is wrong: It is not internal.

2. A company must comply with CSR provisions if its net worth in the preceding financial year is at least

Answer: A. Rs 500 crore

Why correct: CSR applies when net worth is Rs 500 crore or more.

B is wrong: Rs 100 crore is too low.

C is wrong: Rs 50 crore is too low.

D is wrong: Rs 5,000 crore is too high.

3. When the RBI increases the repo rate, loan interest rates in the economy are likely to

Answer: D. Rise

Why correct: A higher repo rate makes bank funds costlier, so loan rates rise.

A is wrong: Rates do not fall.

B is wrong: They do change.

C is wrong: They do not become zero.

4. Deceptive online interface designs that trick consumers into unintended choices are called

Answer: A. Dark patterns

Why correct: Deceptive online designs are dark patterns.

B is wrong: 'Green patterns' is not the term.

C is wrong: 'Smart patterns' is not the term.

D is wrong: 'Open patterns' is not the term.

5. The Planning Commission was replaced by NITI Aayog in

Answer: D. 2015

Why correct: NITI Aayog replaced the Planning Commission in 2015.

A is wrong: 2005 is wrong.

B is wrong: 2010 is wrong.

C is wrong: 2019 is wrong.

6. Linking product sales to a donation for a social cause is called

Answer: B. Cause-related marketing

Why correct: Linking sales to a donation for a cause is cause-related marketing.

A is wrong: Price skimming is a pricing strategy.

C is wrong: Direct selling is face-to-face sales.

D is wrong: Telemarketing sells by phone.

7. Is the company covered by the CSR provision?

Answer: D. Yes, because its turnover exceeds Rs. 1,000 crore and its profit exceeds Rs. 5 crore

Why correct: The company is covered because its turnover (Rs 1,200 crore) exceeds Rs 1,000 crore and net profit exceeds Rs 5 crore.

A is wrong: Not only government companies are covered.

B is wrong: Manufacturing firms are not exempt.

C is wrong: Ownership by foreigners is not a condition.

8. Banking, insurance and transport belong to the

Answer: A. Tertiary (services) sector

Why correct: Banking, insurance and transport are services - the tertiary sector.

B is wrong: Primary is raw materials.

C is wrong: Secondary is manufacturing.

D is wrong: Agriculture is primary.

9. A whistle-blower policy is intended to

Answer: D. Allow reporting of unethical practices without fear of retaliation

Why correct: A whistle-blower policy lets people report wrongdoing without fear of retaliation.

A is wrong: It does not punish complainants.

B is wrong: It does not hide wrongdoing.

C is wrong: It does not reduce audits.

10. The Sale of Goods Act, 1930 regulates

Answer: B. Contracts for the sale of goods, including implied conditions on quality

Why correct: The Sale of Goods Act regulates sales contracts and implied conditions on quality.

A is wrong: Stock trading is SEBI.

C is wrong: Environmental clearance is separate.

D is wrong: Foreign exchange is FEMA.

11. Which of the following is a likely benefit of this FDI?

Answer: B. Capital inflow, technology transfer and employment

Why correct: FDI brings capital inflow, technology transfer and jobs.

A is wrong: It reduces unemployment.

C is wrong: It raises reserves.

D is wrong: It increases competition.

12. Partial liberalisation of the Indian economy began in the

Answer: A. 1980s

Why correct: Partial liberalisation began in the 1980s.

B is wrong: 1950s were planning years.

C is wrong: 1960s were controls.

D is wrong: 2000s came after 1991.

13. An ethics officer is mainly responsible for

Answer: D. Overseeing ethics programmes and handling ethical complaints

Why correct: An ethics officer oversees ethics programmes and complaints.

A is wrong: Balance sheets are accountants'.

B is wrong: Selling is sales.

C is wrong: Recruiting drivers is HR.

14. Kantian (deontological) ethics is based on

Answer: A. Duty and universal moral rules

Why correct: Kantian ethics is based on duty and universal moral rules.

B is wrong: Consequences are utilitarian.

C is wrong: Profit is not an ethical theory.

D is wrong: Local culture is relativism.

15. Partnering with NGOs helps companies by

Answer: D. Bringing local expertise to community projects

Why correct: NGOs bring local expertise to community projects.

A is wrong: Partnering is not avoiding work.

B is wrong: It does not raise prices.

C is wrong: It does not cut jobs.

16. An integrated report combines

Answer: C. Financial and non-financial performance

Why correct: An integrated report combines financial and non-financial performance.

A is wrong: Not only taxes.

B is wrong: Not only sales.

D is wrong: Not only costs.

17. The liberalisation of the Indian economy in 1991 changed the conditions in which Indian firms operated. This illustrates the ___ of business environment.

Answer: C. Dynamic nature

Why correct: 1991 liberalisation changed conditions - an example of a dynamic environment.

A is wrong: Static means unchanging.

B is wrong: Internal control is not the issue.

D is wrong: Uniformity is not shown.

18. Retributive justice deals with

Answer: A. Fair punishment for wrongdoing

Why correct: Retributive justice is fair punishment for wrongdoing.

B is wrong: Rewards are distributive.

C is wrong: Procedures are procedural.

D is wrong: Prices are not retributive.

19. The sale of majority stake and management control to a private company is:

Answer: B. Privatisation

Why correct: Transferring majority stake and control to a private company is privatisation.

A is wrong: Nationalisation is the reverse.

C is wrong: Devaluation is a currency matter.

D is wrong: Import substitution is trade policy.

20. A company must comply with CSR provisions if its turnover in the preceding financial year is at least

Answer: D. Rs 1,000 crore

Why correct: CSR applies when turnover is Rs 1,000 crore or more.

A is wrong: Rs 100 crore is too low.

B is wrong: Rs 500 crore is too low.

C is wrong: Rs 10,000 crore is too high.

21. The "Ecomark" scheme in India is a label for

Answer: B. Environment-friendly products

Why correct: Ecomark labels environment-friendly products.

A is wrong: It is not for luxury imports.

C is wrong: It is not for fast-moving goods as such.

D is wrong: It is not for defence goods.

22. The rapid growth of UPI digital payments illustrates the impact of the

Answer: D. Technological environment

Why correct: UPI growth shows the effect of technology.

A is wrong: Political is government.

B is wrong: Natural is nature.

C is wrong: Legal is law.

23. Standing up for what is right despite pressure is called

Answer: D. Moral courage

Why correct: Standing up for what is right despite pressure is moral courage.

A is wrong: Risk aversion is avoiding risk.

B is wrong: Blind obedience follows orders.

C is wrong: Greed is wanting more.

24. The consumer's right to be informed is best protected by

Answer: A. Accurate labelling and disclosure

Why correct: Accurate labelling and disclosure protect the right to be informed.

B is wrong: Higher prices do not.

C is wrong: Secret formulae do not.

D is wrong: Fewer products do not.

25. Creating artificial scarcity by hoarding goods to raise prices is

Answer: A. An unethical business practice

Why correct: Hoarding to create scarcity and raise prices is unethical.

B is wrong: Smart pricing is lawful.

C is wrong: CSR is social spending.

D is wrong: A government incentive is a benefit.

26. A likely long-term consequence for BuildRight is:

Answer: B. Legal penalties and loss of reputation

Why correct: Long-term bribery risks legal penalties and loss of reputation.

A is wrong: Profits are not guaranteed.

C is wrong: Regulation still applies.

D is wrong: There is risk.

27. A rights-based approach to ethics holds that

Answer: D. Individuals have basic rights that must be respected

Why correct: A rights-based approach says individuals have basic rights to respect.

A is wrong: Majority-only is utilitarian.

B is wrong: Profit-only is not ethics.

C is wrong: Law is not irrelevant.

28. Transparency in business means

Answer: A. Openness in disclosing information to stakeholders

Why correct: Transparency is openness in giving information to stakeholders.

B is wrong: Hiding losses is deceit.

C is wrong: Secret pricing is opaque.

D is wrong: Avoiding audits is opaque.

29. Offering a bribe to obtain a government contract is

Answer: B. Both unethical and illegal

Why correct: Bribery is both unethical and illegal.

A is wrong: It is not ethical.

C is wrong: It is not legal.

D is wrong: It is neither ethical nor legal.

30. The umbrella law, enacted in 1986 after the Bhopal gas tragedy, is the:

Answer: C. Environment (Protection) Act

Why correct: The Environment (Protection) Act, 1986 is the umbrella law enacted after Bhopal.

A is wrong: The Air Act is specific.

B is wrong: The Wildlife Act is specific.

D is wrong: The Forest Act is specific.

31. The system of heavy licensing and controls before 1991 is popularly called:

Answer: C. Licence Raj

Why correct: Heavy licensing and controls before 1991 were called Licence Raj.

A is wrong: Green Revolution is farming.

B is wrong: Free trade came after.

D is wrong: Privatisation came after.

32. A firm's plant, machinery and production technology are classified as

Answer: C. Internal factors

Why correct: Plant and machinery belong to the firm, so they are internal.

A is wrong: Macro factors are external.

B is wrong: Political factors are external.

D is wrong: Legal factors are external.

33. The main justification for government regulation of business is to

Answer: C. Protect public interest and correct market failures

Why correct: Regulation protects public interest and corrects market failures.

A is wrong: It is not meant to raise profits.

B is wrong: It does not eliminate competition.

D is wrong: It is not meant to cut jobs.

34. The state's health insurance scheme is best classified as a:

Answer: B. Political factor

Why correct: A state health scheme is a government (political) policy.

A is wrong: It is not technology.

C is wrong: It is not social.

D is wrong: It is not environmental.

35. The World Trade Organisation (WTO) forms part of the

Answer: B. Global environment

Why correct: The WTO operates globally, so it is part of the global environment.

A is wrong: Internal is inside the firm.

C is wrong: Micro is the immediate task environment.

D is wrong: Culture is internal.

36. Training unemployed youth in job skills is an example of

Answer: A. Skill development as community engagement

Why correct: Training unemployed youth is skill development in the community.

B is wrong: It is not cost cutting.

C is wrong: It is not tax planning.

D is wrong: It is not price fixing.

37. Advertising to children should avoid

Answer: B. Exploiting their lack of judgement

Why correct: Ads to children must not exploit their lack of judgement.

A is wrong: Colour is harmless.

C is wrong: Music is harmless.

D is wrong: Honesty is required.

38. A vision statement of a firm describes

Answer: B. What the firm aspires to become in future

Why correct: A vision statement states what the firm wants to become.

A is wrong: Past performance is history.

C is wrong: Legal compliance is a duty.

D is wrong: Tax liability is a financial matter.

39. Terminating an employee fairly requires

Answer: A. Notice and an opportunity to be heard

Why correct: Fair dismissal needs notice and a chance to be heard.

B is wrong: Instant dismissal without reason is unfair.

C is wrong: A secret decision is unfair.

D is wrong: A verbal warning alone is not enough.

40. Job losses in some traditional sectors after liberalisation arose mainly due to

Answer: B. Competition from cheaper imports

Why correct: Cheaper imports hurt traditional sectors and cost jobs.

A is wrong: Tariffs were lowered, not raised.

C is wrong: Imports were freed, not banned.

D is wrong: Licensing was removed.

41. Product liability means the responsibility of a manufacturer or seller to

Answer: A. Compensate for harm caused by a defective product

Why correct: Product liability means compensating for harm caused by a defective product.

B is wrong: Reducing prices is not liability.

C is wrong: Honest advertising alone is not liability.

D is wrong: GST is a tax.

42. Ignoring local community protests against a project can lead to

Answer: C. Project delays and reputational damage

Why correct: Ignoring local protests can delay the project and damage reputation.

A is wrong: It does not raise profits.

B is wrong: It harms goodwill.

D is wrong: It does not lower costs.

43. Community engagement means

Answer: C. Active involvement of a business in the welfare and development of the local community

Why correct: Community engagement is active involvement in the welfare of the local community.

A is wrong: Ignoring locals is the opposite.

B is wrong: Advertising only is not engagement.

D is wrong: Selling to government is not engagement.

44. Rapid changes in technology and consumer tastes make it hard to predict the future. This feature of business environment is

Answer: C. Uncertainty

Why correct: Unpredictable technology and tastes make the environment uncertain.

A is wrong: Certainty is the opposite.

B is wrong: Stability is the opposite.

D is wrong: Uniformity is not about unpredictability.

45. Effective stakeholder engagement with a community should be

Answer: D. Continuous and two-way

Why correct: Effective engagement is continuous and two-way.

A is wrong: One-time, one-way is ineffective.

B is wrong: Secrecy defeats engagement.

C is wrong: Occasional advertising is not dialogue.

46. The right to safety protects consumers against

Answer: A. Goods and services hazardous to life and property

Why correct: Right to safety protects against goods and services hazardous to life and property.

B is wrong: High prices are not covered.

C is wrong: Advertising is not covered.

D is wrong: Competition is not covered.

47. The Montreal Protocol is aimed at phasing out

Answer: C. Ozone-depleting substances

Why correct: The Montreal Protocol phases out ozone-depleting substances.

A is wrong: It does not target plastic bags.

B is wrong: It does not target coal mining.

D is wrong: It does not target nuclear power.

48. Good labour-management relations within a firm are an example of a(n)

Answer: C. Internal factor

Why correct: Labour-management relations are inside the firm.

A is wrong: Political factors are external.

B is wrong: Natural factors are external.

D is wrong: Global factors are external.

49. SAIL, BHEL and ONGC illustrate the government's role as an

Answer: D. Entrepreneur

Why correct: SAIL, BHEL and ONGC are state-owned businesses: government as entrepreneur.

A is wrong: They are not only regulators.

B is wrong: An auditor checks accounts.

C is wrong: A lender only lends.

50. Firms that provide raw materials and components to a business are its

Answer: C. Suppliers

Why correct: Firms providing raw materials are suppliers.

A is wrong: Customers buy.

B is wrong: Competitors sell similar goods.

D is wrong: Regulators make rules.